

S2i CORPORATION
f/k/a Beckett Brown International, Inc.
And
JOHN C. DODD, III

Plaintiffs

v.

SEMMEs, BOWEN & SEMMEs

Defendant

* IN THE
* CIRCUIT COURT
* FOR
* TALBOT COUNTY
* Case No. 20-C-08-006454
*
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AFFIDAVIT OF JAMES A. JOHNSON, Esq

1. I, James A. Johnson, am over 18 years of age, and I am competent to testify in this case.

2. I am a member of the bar of the State of Maryland, and a shareholder in Semmes, Bowen & Semmes, a professional corporation.

3. From April 2001 through August 2005, I participated in the representation of John C. Dodd, III and S2I Corporation, formerly Beckett Brown International, (the company) in claims against the various defendants in the case of *S2I Corporation and John Dodd, III v. Paul P. Rakowski, Sr., et al*, case number 20C02004615 in the Circuit Court for Talbot County, hereinafter referred to as the "lawsuit."

4. Mr. Dodd informed me, and the company's records confirmed, that:

- a. He was a Director and the Chairman of the Board of Directors of the company at all times from the inception of the company until the conclusion of the trial;
- b. He was the Vice-President of the company for most, if not all, of the time period from the inception of the company until the conclusion of the trial; and
- c. He was the Treasurer of the company for several months early in the year 2000.

5. By the time of the filing of the lawsuit, August 12, 2002, I had advised Mr. Dodd in numerous discussions at meetings and on the telephone that, in my judgment, the assertion of a claim against Mr. Beckett would be both frivolous and strategically counter productive. Although Mr. Dodd had suggested suing Mr. Beckett, Mr. Beckett had previously been released by Mr. Dodd of all claims known or unknown, and therefore I was unwilling to file suit against Mr. Beckett. I told Mr. Dodd that, if he wanted to include Mr. Beckett as a Defendant, he should obtain other counsel. I told Mr. Dodd that, if he chose to do so, I would try to help him find other counsel and would cooperate fully to facilitate a smooth transition. Mr. Dodd decided to continue with Semmes, and to file the lawsuit without naming Mr. Beckett as a Defendant. Mr. Beckett was not

included as a defendant in the lawsuit. Mr. Dodd was aware of that fact and expressed his understanding of the decision.

6. Before the lawsuit was filed on August 12, 200, two associates and I had reviewed numerous company documents and I had repeatedly reviewed the facts with Mr. Dodd. Having reviewed the facts, I was not aware of any evidence of action which I considered to be wrongdoing by the law firm of Hillman, Brown & Darrow. Hillman, Brown & Darrow was not named as a Defendant in the lawsuit because, in my judgment, there was no legitimate basis to make a claim against it. Before the lawsuit was filed, Mr. Dodd reviewed drafts of the Complaint and was aware that the law firm of Hillman, Brown & Darrow was not named as a Defendant.

7. On August 12, 2002, the date on which the lawsuit was filed, I sent the letter attached hereto as Exhibit A to Mr. Dodd. That letter was for the purpose of repeating and emphasizing to Mr. Dodd the analysis and recommendations which had been made orally to him during the process of investigating and preparing the lawsuit. Mr. Dodd signed and returned the letter indicating his understanding of the difficulty in proving the case and the low probability of success.

8. On July 31, 2003, during the period that I and the other attorneys at Semmes, Bowen & Semmes were preparing responses to the discovery posed by the defendants in the lawsuit, I sent Mr. Dodd the letter attached hereto as Exhibit B. That letter was also for the purpose of repeating and emphasizing to Mr. Dodd the analysis and recommendations which had been made to him during the process of investigation and the process of preparing the responses to discovery in the lawsuit.

When Mr. Dodd and I discussed the July 31, 2003 letter, he told me that he understood that the probability of success was extremely low, that moving forward would entail more and greater expense, and that, even if we were successful, the probability of actually collecting on a judgment would be low. In these discussions following the July 31, 2003, Mr. Dodd told me that he understood the risk and expense and still wanted to move forward. At that time, Mr. Dodd told me that he did not need or want any more letters like that. Thus, I did not send more letters. However, I repeatedly and consistently warned Mr. Dodd orally about the issues with the lawsuit, the limited prospects for success, and the costs of moving forward.

9. During discovery in the case, the deposition of Mr. Beckett was taken on November 4, 2003. In the course of the deposition, Mr. Beckett testified

repeatedly that Mr. Dodd was personally active in the management of the corporation, particularly with respect to expenditure of funds. Mr. Beckett testified that Mr. Dodd acted as the Chief Financial Officer of the company and dictated that no one could spend any money above a very low threshold without Mr. Dodd's consent. Mr. Beckett also testified that he resigned as President and left the company because John Dodd had called him and others into a conference room and had shown them a video of a dog having sex with a woman. Mr. Beckett testified that he left the company because he did not want to be associated with someone who would show such a video. A copy of the referenced portions of the transcript of that testimony is attached hereto as Exhibit C.

Immediately after the deposition, I asked Mr. Dodd about the videotape. Mr. Dodd admitted that he had brought the videotape to the company offices and had shown it to Mr. Beckett and others. From November 3, 2003 through trial, I repeatedly explained to Mr. Dodd that I would probably not call Mr. Beckett as a witness. I told Mr. Dodd that, in my judgment, testimony about the videotape would be devastating. I also told Mr. Dodd that, in this case where Mr. Dodd claimed that he was just an outside director with no true understanding of the financial affairs of the company, it was my judgment that it would be counterproductive for us to present a witness who would testify that he disclosed

all of the company's financial details to Mr. Dodd and that Mr. Dodd acted as the company's Chief Financial Officer. While we withheld the final decision until trial, Mr. Dodd fully understood that, based on judgment of trial strategy, it was likely that we would not call Mr. Beckett as our witness. We did not call him as a witness.

10. The billing records of Semmes, Bowen & Semmes, kept in the ordinary course of business, show that for work done on behalf of S2I Corporation and Mr. Dodd with respect to preparing and prosecuting the lawsuit, Semmes, Bowen & Semmes had billed and been paid in excess of \$113,000 before August of 2003, and had billed and been paid in excess of \$600,000 before April of 2005.

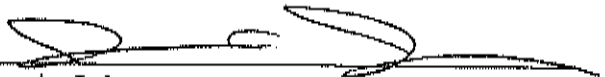
11. During the investigation, discovery and preparation for trial, Mr. Dodd suggested that company employees had engaged in wrongdoing, including dumpster diving to obtain discarded documents. None of the "evidence" which he collected appeared convincing. More importantly, it was explained to Mr. Dodd repeatedly that there was no evidence that those activities, if they in fact occurred, were illegal or had in any way damaged Mr. Dodd or the company financially. Well before trial, I told Mr. Dodd that, in my judgment, the introduction of such evidence would not support the claims being made and could undercut the case. Further, since Mr. Dodd was an officer and a director of the company, it could be

counterproductive to try to prove improper conduct by the company. Such proof would not support the theme underlying Mr. Dodd's claims or those by the corporation, and the jury might conclude that Mr. Dodd, Vice President and Chairman of the Board, might bear some responsibility for corporate misconduct. Mr. Dodd indicated his understanding of that analysis before and during trial from August 1 through August 16, 2005.

12. Trial of the lawsuit began on August 1, 2005. From then through Judge Beck's ruling on August 16, 2005, Mr. Dodd attended every court session, and participated with counsel in much of the planning and preparation between court sessions.

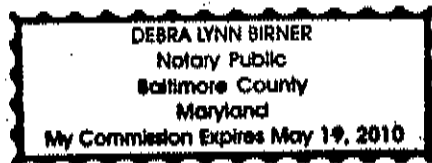
13. On August 16, 2005, as reflected in the docket, Judge Beck granted Defendants' motions for judgment to the extent that he dismissed all claims of fraud and he dismissed all of Mr. Dodd's claims, thus leaving S2I as the sole plaintiff going forward. Judge Beck also ruled from the bench that none of Mr. Dodd's individual claims could be asserted through or on behalf of the corporation. After the court session, I discussed that ruling at length with Mr. Dodd, and he expressed his understanding that he, personally, had lost the suit, but that some of S2I's corporate claims remained.

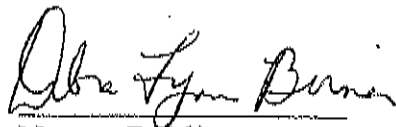
I solemnly affirm under penalties of perjury and upon personal knowledge that the contents of the foregoing affidavit are true.


James A. Johnson

Date: *May 4, 2009*

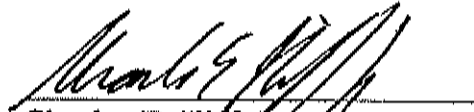
Subscribed and sworn before me this *4th* day of May, 2009.




Notary Public

CERTIFICATE OF SERVICE

I hereby certify this 5th day of May, 2009 that a copy of the foregoing Affidavit was mailed, postage prepaid, to John C. Dodd, III, 28198 Oaklands Road, Easton, MD 21601


Charles E. Iliff, Jr.